T-12 OPERATING STATEMENT

Eastlake Health Center | Buffalo, NY

Property	Eastlake Health Center
Period Ending	August 18, 2023
Basis	Accrual - Trailing 12 Months
Prepared By	Elmstead Asset Services
Size	153,972 SF

Trailing 12-Month Operating Statement (Detail)

Account	Nov	Dec	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	T-12
4000 Gross Potential Rent	694,916	720,599	661,514	709,007	664,731	651,310	664,788	719,411	672,019	676,621	728,279	685,712	8,248,908
4010 Loss to Lease	294,929	265,719	291,364	295,463	267,048	294,742	295,077	288,123	283,941	277,443	261,536	287,990	3,403,374
4020 Vacancy Loss	49,722	48,594	53,990	52,981	49,918	50,806	54,285	49,064	53,733	47,553	52,013	48,050	610,707
4030 Concessions	106,855	103,525	109,830	112,762	106,785	105,310	103,033	113,031	111,911	106,886	107,758	116,323	1,304,010
4040 Bad Debt	191,122	204,233	208,127	192,042	199,761	204,641	214,034	186,938	198,028	190,819	207,370	200,935	2,398,050
4050 Late Fees	498,997	529,397	569,341	554,812	517,982	530,782	544,316	567,831	557,673	550,249	533,553	530,271	6,485,202
4060 Utility Reimbursements	43,425	46,239	42,771	41,428	41,621	45,388	47,184	43,658	45,822	42,519	45,006	47,577	532,638
4070 Parking Income	362,260	393,427	389,408	371,524	398,768	352,496	365,335	382,258	352,659	368,552	359,064	389,618	4,485,370
4080 Application Fees	47,573	53,753	52,735	53,334	48,604	50,607	51,276	52,071	53,015	53,611	47,613	52,891	617,083
4090 Pet Rent	274,905	246,032	269,165	266,049	243,636	262,729	277,654	273,800	261,399	262,511	277,628	259,283	3,174,791
4100 Laundry Income	386,410	371,599	374,651	395,839	370,239	374,993	358,987	398,546	397,148	363,350	375,677	360,658	4,528,098
4110 Cable/Internet Revenue	452,307	484,648	444,769	493,561	474,371	445,672	456,358	477,879	446,318	456,438	450,202	461,298	5,543,822
4120 CAM Reimbursements	284,207	287,971	281,371	279,982	263,260	292,745	280,415	285,073	281,339	264,271	291,823	291,292	3,383,750
4130 Tax Reimbursements	558,199	620,215	624,656	562,890	594,660	610,096	604,897	569,317	570,334	570,878	607,039	630,476	7,123,657
4140 Insurance Reimbursemen	473,444	474,383	489,383	453,089	447,708	443,426	432,488	473,234	441,907	452,689	478,234	450,016	5,510,001
4150 Percentage Rent	500,407	501,820	527,646	508,828	475,355	517,245	495,938	459,548	488,053	460,560	513,868	510,417	5,959,685
4160 Misc. Income	559,770	561,611	628,000	585,439	590,600	587,066	593,560	611,802	562,604	566,489	586,975	599,003	7,032,919
4170 Payroll - Management	21,940	24,428	22,300	24,403	24,122	22,157	22,834	24,488	22,604	23,052	23,301	23,199	278,829
4180 Payroll - Leasing	50,308	46,511	46,667	51,929	45,331	50,696	50,412	48,532	49,268	46,806	47,159	49,216	582,834
4190 Payroll - Maintenance	13,994	14,189	12,805	13,582	12,530	13,105	13,324	13,055	12,967	12,853	12,732	12,718	157,856
4200 Payroll Taxes & Benefits	17,614	18,355	18,175	18,155	18,067	16,649	16,829	18,287	18,392	16,194	17,033	16,228	209,980
4210 Repairs - Plumbing	39,430	38,729	43,129	37,955	37,969	42,512	40,118	42,231	39,608	43,192	39,478	38,925	483,276
4220 Repairs - HVAC	69,521	66,402	73,522	72,763	74,204	73,276	69,390	66,144	65,263	74,903	67,828	67,114	840,331
4230 Repairs - Electrical	22,835	24,005	22,095	23,903	23,070	22,220	23,975	22,657	23,439	23,835	22,066	21,761	275,861
4240 Repairs - Appliances	43,981	42,693	46,232	47,445	44,665	43,863	44,268	46,282	44,474	46,139	41,278	43,918	535,238
4250 Painting & Decorating	55,720	57,273	53,879	52,817	56,473	51,637	52,936	55,099	53,580	55,362	51,913	51,761	648,447
4260 Flooring	34,278	34,449	32,702	36,019	32,940	33,868	33,687	32,391	33,629	34,143	31,591	32,144	401,840

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Trailing 12-Month Operating Statement (Detail)

Account	Nov	Dec	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	T-12
4440 Accounting & Audit	78,403	75,553	81,325	84,358	80,403	75,793	78,423	76,359	83,047	84,654	74,884	76,870	950,073
4450 Licenses & Permits	26,847	26,812	27,346	29,234	26,280	26,512	27,009	27,509	28,616	27,999	25,821	28,058	328,042
4460 Management Fee	34,107	35,491	32,848	31,422	32,452	33,772	34,953	31,796	33,239	33,619	34,672	33,359	401,731
4470 Property Insurance	17,448	16,653	17,182	18,932	18,365	16,720	17,407	17,243	18,891	16,991	17,269	18,678	211,778
4480 Real Estate Taxes	23,674	26,012	25,067	22,798	22,959	23,182	25,877	22,907	25,077	23,048	25,936	23,508	290,046
4490 Asset Management Fee	45,203	42,026	40,984	42,371	43,268	42,158	41,418	40,618	42,951	45,614	41,151	44,000	511,763
4500 Replacement Reserves	32,079	30,606	32,999	33,335	33,222	31,096	32,350	31,323	34,899	34,145	32,133	31,643	389,829
4510 Roof Repairs	59,483	61,081	59,670	56,226	60,226	60,186	59,624	61,593	59,888	56,456	61,656	56,544	712,632
4520 Parking Lot Repairs	9,574	9,325	9,502	8,966	8,499	9,328	8,953	8,763	9,557	9,037	9,040	8,709	109,252
4530 Signage	42,319	41,361	42,381	40,457	41,683	38,907	38,792	42,806	43,502	40,964	38,774	42,495	494,441
4540 Tenant Improvements	72,484	68,118	71,290	68,461	71,764	71,721	75,053	67,529	65,531	70,912	66,261	69,596	838,720
4550 Leasing Commissions	26,391	29,896	27,372	30,226	27,002	27,996	29,977	27,522	28,951	29,029	30,195	27,491	342,048
4000 Gross Potential Rent	692,605	691,473	729,028	660,053	665,382	650,299	692,657	688,839	641,399	681,709	652,627	654,865	8,100,936
4010 Loss to Lease	511,306	517,971	474,329	510,186	500,076	458,833	509,032	491,985	484,849	494,763	454,836	481,471	5,889,635
4020 Vacancy Loss	524,756	529,219	538,963	527,590	514,755	543,303	516,786	554,629	528,888	503,945	526,145	572,050	6,381,030
4030 Concessions	168,842	152,082	163,204	157,071	166,559	153,556	153,293	169,247	163,039	168,159	160,252	154,791	1,930,094
4040 Bad Debt	251,221	267,322	257,629	249,770	251,400	270,833	246,970	271,215	266,657	263,371	253,435	242,758	3,092,582
4050 Late Fees	583,684	553,636	530,679	547,232	577,825	527,423	562,032	574,181	552,884	561,646	573,348	554,952	6,699,522
4060 Utility Reimbursements	296,288	289,030	305,276	278,722	280,050	290,056	308,222	285,704	273,695	282,074	279,151	306,308	3,474,577
4070 Parking Income	197,957	198,843	185,762	197,742	183,917	200,263	195,640	189,972	201,901	189,497	204,298	197,258	2,343,050
4080 Application Fees	265,742	243,622	256,841	251,012	259,379	243,258	263,859	264,711	267,028	256,553	273,296	264,678	3,109,979
4090 Pet Rent	462,709	453,569	418,661	465,615	440,566	467,444	415,208	409,893	433,536	454,116	420,164	434,525	5,276,006
4100 Laundry Income	51,757	49,754	52,371	52,497	52,894	46,515	51,895	51,155	47,818	52,449	48,026	49,336	606,466
4110 Cable/Internet Revenue	278,407	290,061	278,130	276,668	279,499	308,298	308,119	290,979	280,569	273,883	303,585	306,944	3,475,143
4120 CAM Reimbursements	280,741	253,811	267,364	251,289	271,563	269,484	263,913	273,366	283,546	251,736	280,229	277,883	3,224,924
4130 Tax Reimbursements	59,617	62,895	63,210	61,916	65,603	65,207	64,572	61,817	63,988	62,448	62,716	57,438	751,427
4140 Insurance Reimbursemen	44,931	45,714	41,538	43,136	42,567	44,772	46,366	44,852	40,546	40,564	42,051	44,833	521,868
4150 Percentage Rent	369,261	379,510	370,767	337,546	370,814	377,914	364,042	345,755	369,576	342,044	336,005	367,604	4,330,837
4160 Misc. Income	81,813	81,181	77,011	80,019	81,441	76,544	77,803	79,072	73,892	72,023	80,429	76,413	937,642
4170 Payroll - Management	71,916	72,086	70,384	76,047	72,374	74,083	71,614	74,873	77,267	75,188	74,596	71,286	881,712
4180 Payroll - Leasing	37,372	35,236	36,754	37,176	35,199	35,717	37,091	35,945	32,720	32,616	35,133	37,335	428,294
4190 Payroll - Maintenance	18,456	17,543	19,690	19,304	19,501	18,728	17,513	17,543	18,091	17,799	19,350	19,544	223,062
4200 Payroll Taxes & Benefits	47,712	48,590	47,713	46,108	44,717	47,647	45,707	46,199	48,778	43,531	46,775	43,077	556,554
4210 Repairs - Plumbing	59,911	61,992	55,401	59,326	60,356	58,701	56,926	58,461	55,841	59,302	56,582	59,991	702,791
4220 Repairs - HVAC	9,766	9,400	9,215	9,363	8,745	9,454	9,221	8,603	8,989	9,416	9,580	8,863	110,614
4230 Repairs - Electrical	82,687	79,448	73,594	76,094	78,715	78,042	81,084	80,780	75,587	80,182	77,129	75,115	938,456
4240 Repairs - Appliances	22,408	23,099	20,920	22,984	22,743	21,724	20,980	22,826	21,985	23,162	20,940	23,468	267,240
4250 Painting & Decorating	54,896	58,213	54,860	59,984	55,080	58,088	57,772	57,612	53,467	60,364	59,187	58,042	687,564
4260 Flooring	6,928	7,455	7,383	6,968	6,883	7,041	7,609	7,660	7,504	7,020	7,645	7,037	87,133
4270 Make-Ready / Turnover	41,460	45,459	42,678	41,038	44,629	43,543	43,222	43,399	42,593	44,055	40,989	45,433	518,500
4280 Landscaping Contract	34,881	34,661	34,371	33,616	36,352	36,822	33,915	35,671	34,185	37,442	32,842	33,968	418,725
4290 Snow Removal	81,694	83,707	81,834	75,721	80,888	80,178	75,450	80,535	81,945	75,873	83,614	81,466	962,905
4300 Janitorial	46,025	46,115	45,397	46,518	45,045	47,716	47,704	48,132	48,145	43,174	45,719	44,042	553,732
4310 Pest Control	57,149	55,305	57,358	57,917	57,612	54,322	60,677	57,824	60,115	59,418	58,962	58,405	695,065

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Summary and Notes

Financial Analysis

Management fees are calculated at 3.3% of collected revenue and are included in operating expenses. Rents average $30 per square foot modified gross and leases include tenant improvement allowances for specialized buildout. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Net operating income is projected to grow at a compound annual rate of 6.2% over the hold period.

The going-in capitalization rate of 7.04% reflects the in-place income and the stabilized occupancy assumption. Net operating income is projected to grow at a compound annual rate of 6.6% over the hold period. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Debt service coverage ratio was 6.98x on a trailing basis against a covenant minimum of 1.20x. Effective gross income for the trailing period was $425,000, representing a 5.8% increase over the prior year. The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage.

Leasing and Marketing

Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Service requests are tracked through a work-order system with an average completion time of 15 hours. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 2 additional team members. The manager completes a monthly walk of the property and submits a variance report to the owner by the 17th business day. The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy.

The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy. The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage. Service requests are tracked through a work-order system with an average completion time of 14 hours. The manager completes a monthly walk of the property and submits a variance report to the owner by the 43th business day.

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